

company was actually founded by Shashvat Nakrani and Bhavik Koladiya in March 2018, before Grover entered the scene in October that year; Koladiya sold his stake to Nakrani and Grover, which made the latter a Co-founder. Nakrani remains in that position, but nothing much is known about Koladiya. His LinkedIn profile says “Unemployed” and based in the Greater Pittsburgh Region.

The VC community is rife with stories on how Grover “could not stand” Paytm’s Founder & CEO, Vijay Shekhar Sharma. “The difference is that Vijay always maintained relationships while Ashneer was quite the opposite. Even today, when the Paytm stock is floundering, Vijay has kept a low profile, while Ashneer is in a soup because he continues to rub people the wrong way,” says a VC who has known both of them. It was not just a question of running down Sharma in private, but also making harsh statements in public.

Neither Ashneer Grover nor BharatPe responded to *Business Today*’s detailed questionnaire.

THE PACE OF events from the time BharatPe set up the first interoperable code in August 2018 to becoming India’s 19th unicorn last September was stunning, not just for the money raised but the unbridled expansion into new business areas. Grover often said in earlier media interviews that “the pace of growth is non-negotiable”. He most definitely kept his word.

Less than a year after the first QR code was launched, BharatPe was in the lending business. And in 2020, it was time to launch a card machine, BharatSwipe. The breakthrough moment came last October when the Reserve Bank of India issued a small finance bank licence to the consortium of Centrum Financial Services and BharatPe, to eventually unfurl an entity called Unity Small Finance Bank. Exactly four months earlier,



AFTER A SERIES OF EVENTS LEADING TO ASHNEER GROVER STEPPING DOWN THIS MARCH, BHARATPE MARKS THE FIRST INSTANCE OF A POTENTIALLY HUGE FINANCIAL FRAUD AMONG INDIA’S PROUD UNICORN STORY

the duo had acquired the troubled PMC Bank.

“Ashneer was moving too fast, with only valuation at the back of his mind. The train wreck was waiting to happen and the symptoms were clear to a lot of people except BharatPe’s investors,” says an investment banker closely involved in the start-up space. According to him,

a large chunk of VCs are obsessed with growth and that is where the challenge exists. “Most of them have spent limited time in the business and often miss seeing the full cycle. Chasing growth is what takes away most of their time.” That approach comes with its own risk. “PE (private equity) funds are more focussed on issues around corporate governance